

Since Social Security provides only a portion of replacement income and its future may be in question, it makes sense for Americans to start taking more control over their own retirement income.

Investing is not a hobby, nor is it gambling. It requires research in order to make informed decisions and the patience to not panic when the market faces a correction. Although investing requires effort, it is effort that can be well rewarded. Even if you consider yourself to have little knowledge about investing, you don't have to stay in the dark.

This chapter will cover the following investment issues:

- Fear of the market
- Need for a long-term perspective
- Emotional investing
- High-risk investments
- Recognizing con artists
- Gambling online
- Popular Internet stocks
- Selling a loser
- The value of an investment professional

Paralyzed by Indecision

For some investors, the pain and loss associated with negative stock market experiences actually drive them away from the market. Losing money can be a traumatic experience. Most people expect growth when they make investments, and when they are dealt a loss instead it becomes an experience no one wants to repeat. Even though there is no reason to believe subsequent investing experiences will prove as negative as the first, it is hard to maintain a rational attitude when the memory of that first loss becomes so painful.

Martha had her initial experience with the stock market

